

SESSION 2.1 / 3-HOUR WORKSHOP

From Data to Better Decisions

A platform gains value only when customer signals improve a real decision, customer experience, and business result.

What should we learn? What should change?

QUESTION 01 / CUSTOMER SIGNALS

Which customer signals reveal a real need?

Not every click is useful. We need signals with enough meaning and context to support a decision.

QUESTION 02 / BUSINESS DECISIONS

How can data improve the next action?

Data becomes valuable when it changes a recommendation, design choice, or investment and the result can be observed.

By the end of class, you can identify a useful signal, map a feedback loop, and recommend a responsible data strategy.

Trace the feedback loop in the illustration



Four terms you will use today

Signal

A recorded customer action that may help answer a business question: a save, a completed view, a search, or a repeat visit.

Recommendation

A suggested next product, item, or piece of content selected for a customer.

Feedback loop

A repeated process in which an observed result improves the next decision.

Churn

The percentage of paying customers who cancel in a period. It helps show whether people stay.

Data is not automatically a business asset

A data point becomes useful only when it helps answer a business question and changes an action.

More data without a better decision is storage, not advantage.

Do not confuse a click with a need

A high number of clicks may mean interest, confusion, or a failed search. Start with the decision you want to improve, then choose the smallest useful signal.

Which event gives the strongest evidence?

Worked example

A viewer finishes a cooking video, saves it, then searches for beginner recipes. The sequence suggests a need for a beginner cooking recommendation. Watch time alone would be weaker evidence.

Work alone for 3 minutes

A music app records: a two-second song opening, a saved song, and listening to an album twice.

Choose the strongest signal of preference. Explain why in one sentence.

A data feedback loop improves the next action

01

Collect

Observe a relevant signal.

02

Interpret

Ask what the signal may mean.

03

Act

Change a recommendation or decision.

04

Observe

Check the customer outcome.

05

Learn

Keep, improve, or stop the action.

The loop is complete only when the business learns from the result and improves the next action.

Complete a feedback loop

Worked example: streaming

Viewers who finish a Korean thriller start similar titles. The service tests a recommendation row and observes whether those viewers watch suggested titles. It keeps or changes the row based on the result.

Work alone for 3 minutes

A campus events app sees that students save events but do not attend.
Complete: “The app should test ____ because saved events may mean ____.
I would observe ____ to decide whether the test worked.”

Quality, context, and trust set the limit

Relevant

Does this signal help the specific decision we need to make?

Contextual

Could another explanation produce the same customer action?

Trusted

Do customers understand and accept how the data is collected and used?

Privacy and trust are business conditions. Without them, customers may leave or provide less reliable information.

What is missing before we act?

Worked example

A viewer stops a video after ten seconds. This might show dislike. It could also mean a phone call, a slow connection, or a poor title preview. One event is not enough context.

Work alone for 3 minutes

A delivery app sees a customer close a restaurant menu.
Name one alternative explanation and one additional signal to check before changing the restaurant recommendation.

Customer economics show whether the loop creates value

CAC	Customer Acquisition Cost: sales and marketing cost needed to acquire one paying customer.
LTV	Customer Lifetime Value: gross profit expected from a customer before that customer leaves.
Churn	The percentage of paying customers who cancel in a period.
ARPU	Average Revenue Per User or Member: revenue earned from each active customer or member.

These measures do not prove that a recommendation is good. They show whether a better experience is also improving the business.

Choose the first metric, then connect the framework

Work alone for 3 minutes

A streaming service improves recommendations and wants to know whether people stay.

Choose the best first metric: new sign-ups, churn rate, or office rent.
Explain in one sentence.

The decision chain

Signal tells us something about a need.

Feedback loop changes the next action.

Quality and trust determine whether we can rely on it.

Economics shows whether the change creates value.

What can the data show, and what can it not prove?

Observed in the audited dataset

Netflix's paid memberships rose from 167.1 million in 2019 to 260.3 million in 2023. Content cash additions fell from \$13,917M in 2019 to \$13,063M in 2023. Operating income rose from \$2,604M to \$6,954M.

Your judgment

Which one observed change should a manager investigate first? What customer-behavior measure would you still need before claiming that a data feedback loop caused the financial outcome?

Calculate, describe, then ask the next question

- 1 Open the Netflix dataset and read the source column.
- 2 With the instructor, calculate 2019 content cash spending as a percentage of revenue in `H2`.
- 3 With the instructor, calculate 2019 annual revenue per member in `I2`.
- 4 Individually copy the formulas through 2023.
- 5 Write one observed change and one business question.
- 6 Name one customer-behavior measure needed before making a causal claim.

Deliverable: three sentences that separate a financial pattern, a business question, and the customer evidence still missing.

Choose a data strategy. Defend it responsibly.

Scenario: StreamWise

A student streaming platform can collect every click and sell detailed audience profiles, or ask permission for a smaller set of viewing, saving, and search signals to improve recommendations and content decisions. Choose one approach or design a third approach.

Your 3-minute individual presentation

1. My strategy is ... because ...
2. The signal and decision are ...
3. The greatest risk is ...
4. In 90 days, I would ...
5. I would change my decision if ...

Take one minute to rehearse. Your evidence, risk, action, and decision rule must fit together as one feedback loop.